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WSJ

THE WALL STREET JOURNAL WEEKEND



DOW JONES | News Corp ********* SATURDAY/SUNDAY, OCTOBER 17 - 18, 2026 ~ VOL. CCLXXXVIII NO. 92 WSJ.com ★★★★ $6.00

What's News

Business & Finance

◆ **A broad tech selloff** punctuated the market's worst week since June as the Nasdaq tumbled 4.5% while the S&P 500 lost 1.9% and the Dow gained 0.7%. **A1**

◆ **A star oil trader** who found himself deep in the hole on a bet on diesel and crude prices made at the start of the Iran war is set to leave commodities giant Vitol. **B9**

◆ **A cybersecurity incident** at a contractor has halted the nation's bankruptcy-noticing system for a week. **B9**

◆ **Proofpoint has agreed** to acquire data-security company Varonis Systems for about $6.3 billion. **B9**

◆ **Blue Owl remains stuck** in the backlash against private credit with its shares down about 67% from its record high in January 2025. **B10**

◆ **Travelers reported** higher quarterly profit, despite roughly flat revenue, helped by investment gains. **B10**

◆ **U.S. import prices** rose in September for the second consecutive month, the Bureau of Labor Statistics said. **A2**

◆ **Federal Reserve** Chairman Kevin Warsh declined to endorse or push back on colleagues' recent signals that officials at the central bank are in no rush to raise interest rates this month. **A2**

Worldwide

◆ **Russia is turning up** the heat on NATO with increasingly risky attacks, forcing the alliance into difficult choices about how to respond without escalating or looking weak. **A1**

◆ **Katie Zacharia is out** as White House press secretary, just a week after Trump announced her appointment. **A1**

◆ **Lawyers for** Rep. Ilhan Omar sent a letter to federal prosecutors challenging the legality of a search of her home. **A4**

◆ **Elon Musk is putting** a small fortune into Republicans' effort to salvage a Senate seat in Texas. **A4**

◆ **Iranian support** has helped the Houthis mount the most potent and sophisticated attacks yet on Saudi Arabia and its Yemeni allies. **A6**

◆ **Hezbollah told Lebanese** security authorities it wants more than 1,000 pounds of seized explosives returned. **A6**

◆ **Police said two people** heroically intervened to stop a 16-year-old shooter at a Bend, Ore., elementary school. **A3**

◆ **Russian attacks** on nine regions of Ukraine knocked out power to hundreds of thousands of households. **A8**

◆ **Israeli settlers attacked** Palestinian villages across the occupied West Bank, setting fire to cars and trees and beating residents and a Washington Post photographer. **A9**

PEGGY NOONAN
History raises its eyebrows at the week in AI. **A13**

CONTENTS

Books	C7-12	Obituaries	C6
Business & Finance	B9	Opinion	A11-13
Food	D10	Sports	A10
Gear & Gadgets	D4	Style & Fashion	D2-3
Heard on Street	B11	Travel	D12-13
Markets	B10	U.S. News	A2-5
		World News	A6-9

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He Helped Kyiv Kill Hundreds of His Comrades



JUSTYNA MIELNIKIEWICZ FOR WSJ

THE DEFECTOR: Former Russian army Lt. Lev Stupnikov, center, is one of the deadliest saboteurs in recent military history, having fed troop locations and battle plans to the enemy before making a daring escape to Ukraine. **C1**

Wall Street Suffers Its Worst Week Since June as Nasdaq Drops 4.5%

By Sam Goldfarb, Gunjan Banerji and Jack Pitcher

It was the week Wall Street wavered on the U.S.'s Teflon economy.

A top chip maker's chief executive likened some AI investors' behavior to gambling. Reports of Chinese advances in semiconductors added fuel to a rout in chip stocks. A hot inflation report sent the bond market on a roller coaster, and along the way one of the most prominent AI cloud companies had a meltdown in both the equity and debt markets.

A tech selloff Friday punctuated the market's worst week since June as the Nasdaq composite dropped 4.5%.

Hovering over all of it were fears among investors that the higher borrowing costs in the U.S. might slow the historic investments in artificial-intelligence infrastructure that have become an all-important driver of economic growth. That, in turn, led to a flight back to government bonds, ending a bruising selloff that had driven Treasury yields to their highest levels in more than two decades.

As bonds rallied, the yield on the 10-year Treasury note fell 0.146 percentage point to 5.097%, according to Tradeweb—its biggest weekly decline since mid-February, before the start of the Iran war.

The S&P 500 fell 1.1% on Friday, bringing its weekly loss to

Please turn to page A2

Russian Attacks In Europe Put NATO In a Bind

Strikes assume new urgency as Trump steps up his criticism of Ukraine's president

By Daniel Michaels And Robbie Gramer

Russia is turning up the heat on NATO with increasingly risky attacks, Western officials said, forcing the alliance into difficult choices about how to respond without escalating or looking weak.

The North Atlantic Treaty Organization said on Thursday that drones had struck two ships in Romanian territorial waters of the Black Sea. A third vessel was hit outside Romania's territorial waters, leaving seven crew members missing.

European authorities have accused Russia of targeting the ships, and four other ships in nearby waters off Bulgaria days earlier. President Nicușor Dan of Romania and Prime Minister Rumen Radev of Bulgaria met on Tuesday with NATO Secretary-General Mark Rutte about the situation.

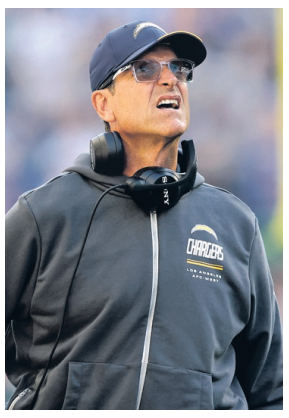
A senior NATO official said the alliance is supporting the security of its members and has options, pointing to something Rutte often says: "Our activities may not always be visible."

NATO's military commanders "are doing exactly what they need to be doing at this time," said U.S. Army Col. Martin O'Donnell, spokesman for the alliance's top military lead-

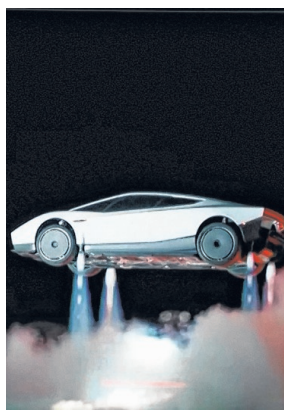
Please turn to page A8

◆ **Ukraine races to battle jet-powered drones..... A8**

INSIDE



JASON GAY
Jim Harbaugh was the NFL's hottest coach. Now he's fighting for his job. **A10**



BUSINESS & FINANCE
The debut of Tesla's flying Roadster was a big spectacle, but key details are missing. **B9**

Press Secretary Ousted Faster Than You Can Say Scaramucci

By Philip Wegmann, Kara Voght and Marianne LeVine

WASHINGTON—Shortly before 1 p.m. Friday, Katie Zacharia was seated behind her new desk in the West Wing, in a cramped office with only a handful of personal touches: a white orchid, a curling iron, a pair of heels tucked away on a shelf next to a cosmetic bag. The new White House press secretary was telling The Wall Street Journal about her plans for the role.

Then Jason Miller, a senior adviser to the president, knocked on her door. "JD wanted to chat with us real quick," Miller said, referring to the vice president.

As Zacharia left the room, President Trump walked to his new helipad, where he recalled a conversation he had with her earlier in the day: "I said, 'Is this for you Katie? Because honestly, you don't need this,' " he told reporters, adding of her decision to accept the role, "Honestly, if I were you, I'd reconsider."

Zacharia never returned—to the interview, or the job.

Her dismissal capped off a tumultuous five days as White House press secretary. Her halting performance at her first press conference earned scorn from across the political spectrum—as did her response to a reporter's question about where she had passed the bar exam. ("When I moved to China," she said, later asserting she misunderstood the question.) Then came reporting from the Journal that Zacharia had never passed the bar exam, despite previously referring to herself

Please turn to page A4

The Unsettling Mystery Of the Disappearing Barf Bag

* * *

Fliers prone to motion sickness can't always find one in their moment of need

By David Marcelis And Alison Sider

Danielle Booker's flight was approaching Denver when turbulence hit—and she realized she was in trouble.

There was no barf bag in her seat pocket. Or in the seat pocket of her seatmate. Or in her seatmate's seatmate's. The guy across the aisle also came up empty.

Booker had few options left. The ongoing turbulence meant a bathroom dash was out of the question, and flight attendants were in no position to help. She scrambled to find something, anything. "I thought I was gonna have to barf in my purse," she said.



Heave-ho

She was resigned to the idea when she stumbled on an airport convenience-store bag. "I was able to dump everything out of that bag at the last second,

Please turn to page A2

In a Film About Elizabeth Holmes, Her Partner Delivers the Star Turn

By Esther Zuckerman And Sara Ashley O'Brien

This article contains spoilers about the movie "You Can See Everything," now in theaters.

There's a moment in the new documentary about Elizabeth Holmes where the spotlight shifts dramatically.

It's about a month before Holmes begins her prison sentence, and the disgraced Theranos CEO is the picture of domestic bliss, lightly beating a bowl of eggs in the kitchen of a rental home.

Suddenly her partner, Billy Evans, wrests the bowl from her hands. He begins whisking

Please turn to page A5



PHILIP PACHECO/GETTY IMAGES

Billy Evans was frequently seen accompanying Elizabeth Holmes to and from the court during her monthslong trial.